

3.1.2 Business ownership

Content	Additional information
• Sole traders • Partnerships • Private limited companies (Ltd) • Public limited companies (plc) • Not-for-profit organisations	Students should be able to: • understand the different legal structures that businesses adopt • analyse the benefits and drawbacks of each legal structure (including issues such as management and control, sources of finance available, liability and distribution of profits) • understand the concept of limited liability and which legal structures benefit from this • evaluate which legal structure would be most appropriate for a variety of business examples, including new start-up businesses and large established businesses. Students are not expected to have an understanding of the legal process of incorporation.